Cadence Design Systems

Strong Results/Guide on Record Backlog and Agentic AI Proof Points Reinforcing Increased EDA Usage Thesis; Reit OW, PT Raised to $420

Overweight

SMiD cap research

CDNS, CDNS US
Price (26 Oct 26):$322.17

▲**Price Target (Dec-27):$420.00**
Prior (Dec-27):$405.00

Cadence's (CDNS) 3Q26 beat and raise on the FY26 guide point to continued strong chip design activity and monetization of its AI agentic portfolio of products. 3Q revenue (+22% y/y) and EPS both came in above the high end of guidance, with backlog exiting the quarter at a record $8.2B (fifth consecutive quarter of backlog growth). Growth was up double-digit % across all product groups, with core EDA up 20% y/y, IP up 24%, SD&A up 30%, and hardware product sales driving another record quarter. Growth drivers included AI/HPC chip/ASIC design activity, advanced-node and chiplet/advanced packaging adoption, and expanded commitments from several large semiconductor and systems customers. At the midpoint, the updated FY26 outlook now implies ~21% y/y revenue growth and ~$8.40 in EPS (vs. ~19% and ~$8.10 prior). YTD bookings growth of 26% and recurring revenue trending 18% y/y (versus 10-11% last year), suggest that AI/agent portfolio licensing add-on activity and deeper customer engagements are driving growth. On the product side, the key announcement from the print was Maestro, a family of AI models built specifically for semiconductor and system design work that delivers up to 30% higher quality and up to 5x greater token efficiency vs. general-purpose closed foundation models. Customer traction is accelerating, as CDNS now has 100+ active engagements across all its AI agents, up from 45+ for ChipStack and ViraStack combined last quarter. We believe these proof points support management's framing that agentic AI drives more, not less, usage of its core EDA engines. CDNS also increased capital returns, doubling its quarterly buyback to $400M and adding $2.5B to its repurchase authorization. While Hexagon D&E will still be a drag on FY26 incremental margins, management expects integration work to make it margin-accretive in 2027. Net-net, we believe the clean beat-and-raise, record backlog, and evidence of agentic AI moving into production should drive further upward estimate revisions and add to confidence in CDNS's medium-term growth outlook. As such, we reiterate our OW rating and raise our CY26 and CY27 estimates and our Dec-27 PT to $420 (from $405), based on 43x our CY27 EPS estimate of $9.85, in line with comparable tech/design software/IP peers.

- **3Q26 results came in above the high end of guidance on broad-based, double-digit growth across all product groups, with backlog reaching a record high…** CDNS exited 3Q with a record backlog of $8.2B (vs. $8.1B in 2Q) and reported 3Q revenues of $1.63B (+22% y/y, +3% q/q), above the high end of its $1.595-$1.625B guide and our $1.61B estimate. Strength was broad-based across all lines of business. Core EDA grew 20% y/y on 16 new digital full-flow wins and rising verification usage at hyperscaler and memory customers; hardware delivered another record quarter on sustained AI/HPC demand for Palladium and Protium; IP grew 24% y/y on custom silicon, advanced-node, and chiplet demand; and SD&A grew 30% y/y, supported by Millennium adoption and Allegro competitive displacement. EPS of $2.11 (+9% y/y) also came in above guidance and our $2.04 estimate. Operating margin of 44.1% also beat guidance and was roughly in line with our ~44.0%

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E ($)	8.10	8.40	3.6%
Adj. EPS - 27E ($)	9.15	9.85	7.6%

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)	2025A	2026E	2027E
Q1	1.57	1.96A	2.26
Q2	1.65	2.11A	2.42
Q3	1.93	2.11A	2.47
Q4	1.99	2.22	2.70
FY	7.14	8.40	9.85

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	81	82	82	88	74
Growth	65	56	44	69	77
Momentum	66	53	53	29	35
Quality	20	46	16	5	18
Low Vol	13	20	25	16	21
ESGQ	20	16	7	45	78

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	3.1%	-1.2%	-1.2%	-6.6%
Rel	-9.2%	0.6%	3.7%	-17.2%

Company Data

Shares O/S (mn)	275
52-week range ($)	416.69-262.75
Market cap ($ mn)	88,686.31
Exchange rate	1.00
Free float (%)	99.7%
3M ADV (mn)	2.40
3M ADV ($ mn)	770.8
Volatility (90 Day)	40
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	25|1|0

Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	5,297	6,402	7,467
Adj. EBIT	2,361	2,862	3,399
Adj. EBITDA	2,361	2,862	3,399
Adj. net income	1,952	2,309	2,733
Adj. EPS	7.14	8.40	9.85
BBG EPS	7.06	8.16	9.55
Cashflow from operations	1,729	1,878	3,075
FCFF	1,607	1,727	2,881
Margins and Growth			
Revenue Growth Y/Y (%)	14.1%	20.9%	16.6%
EBIT margin	44.6%	44.7%	45.5%
EBIT Growth Y/Y (%)	19.6%	21.2%	18.8%
EBITDA margin	44.6%	44.7%	45.5%
EBITDA Growth Y/Y (%)	19.6%	21.2%	18.8%
Net margin	36.8%	36.1%	36.6%
Adj. EPS growth	19.6%	17.6%	17.3%
Ratios			
Adj. tax rate	16.5%	16.5%	16.5%
Interest cover	98.2	29.8	27.2
Net debt/Equity	NM	0.1	NM
Net debt/EBITDA	NM	0.2	NM
ROE	38.5%	35.7%	35.1%
Valuation			
FCFF yield	1.8%	1.9%	3.2%
Dividend yield	-	-	-
EV/Revenue	16.6	13.9	11.8
EV/EBITDA	37.3	31.2	25.8
Adj. P/E	45.1	38.4	32.7

Summary Investment Thesis and Valuation

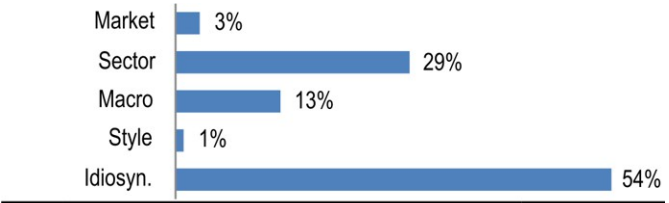
Investment Thesis

The EDA (electronic design automation) software segment should generate 10-15% revenue growth for its core tools. The bulk of the market share in this space is divided among three vendors, Cadence, Synopsys (SNPS/OW), and Siemens (through its acquisition of Mentor Graphics). This provides a very stable but fierce competitive environment, with vendors constantly looking to gain and defend market share through incremental product innovation. We believe Cadence's investment into 3D solvers opens up a larger addressable market and that a shift toward more cyclically exposed names will further boost growth. Given the in the stock in CY25 and so far YTD, combined with strong chip design activity and potential for share gains, we see upside to revenue/EPS over the next few quarters driving the stock to our price target.

Valuation

We are increasing our Dec-27 price target to $420, from $405 prior, based on a 43x P/E multiple, in line with comparable group multiples (tech/design software/IP) applied to our CY27E EPS estimate of ~$9.85.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.07	0.22
Sect: Financials	0.57	0.57
Ind: Diversified Fin	0.55	0.55
Macro:		
US 10yr yield	0.21	0.29
US 10yr Breakeven	0.22	0.23
Credit Spread	-0.02	-0.18
Quant Styles:		
LowVol	0.32	0.22
Momentum	-0.32	-0.20
DivYld	0.29	0.18

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

estimate, though down from 47.6% a year ago, partly reflecting the lower-margin Hexagon D&E contribution.

- **4Q guide well ahead of our prior estimates, and FY26 guidance is raised to 21% y/y growth…** For 4Q26, CDNS guided revenue to $1.71B at the midpoint (+19% y/y, +5% q/q) and EPS to $2.22, both well above our prior estimates of $1.63B and $2.00. For FY26, the revenue guide moved up to a $6.40B midpoint (from $6.30B prior), which implies ~21% y/y growth. CDNS also raised its EPS guide to a midpoint of $8.40 (from $8.10 prior), and guided OPM to 44.7% at the midpoint, with operating cash flow unchanged at ~$2B. Although Hexagon D&E is contributing little operating profit this year, management noted that incremental operating margins excluding it remain within CDNS's typical 54-55% range and expects progress on its integration to make it margin-accretive in 2027. On capital returns, CDNS expects to repurchase ~$400M of shares again in 4Q and to use >50% of FY26 free cash flow for buybacks.
- **Raising CY26/CY27 estimates and increasing our PT to $420…** Given the strong results and guidance, we are increasing our CY26 and CY27 estimates and raising our Dec-27 price target to $420. Our PT assumes CDNS trades at 40-45x (43x) our CY27 EPS estimate of ~$9.85, in line with comparable peers in the tech/design software IP space.

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Investment Thesis, Valuation and Risks

Cadence Design Systems *(Overweight; Price Target: $420.00)*

Investment Thesis

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Risks to Rating and Price Target

- US/China trade talks lead to further tariffs or potential bans on EDA.
- Supply chain issues lead to difficulty in delivering hardware or impact demand from end customers.

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Cadence Design Systems: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**4,641**	**5,297**	**6,402**	**7,467**	**-**
COGS	(567)	(635)	(739)	(841)	-
Gross profit	**4,075**	**4,662**	**5,663**	**6,626**	**-**
SG&A	(848)	(895)	(1,086)	(1,225)	-
Adj. EBITDA	**1,974**	**2,361**	**2,862**	**3,399**	**-**
D&A	0	0	0	0	-
Adj. EBIT	**1,974**	**2,361**	**2,862**	**3,399**	**-**
Net Interest	(16)	(24)	(96)	(125)	-
Adj. PBT	**1,959**	**2,337**	**2,766**	**3,274**	**-**
Tax	(323)	(386)	(456)	(540)	-
Minority Interest	-	-	-	-	-
Adj. Net Income	**1,635**	**1,952**	**2,309**	**2,733**	**-**
Reported EPS	3.85	4.06	4.87	5.83	-
Adj. EPS	**5.97**	**7.14**	**8.40**	**9.85**	**-**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	274	273	275	277	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,644	3,001	1,943	3,331	-
Accounts receivable	680	945	1,163	1,374	-
Inventories	258	304	470	555	-
Other current assets	434	420	359	424	-
Current assets	**4,016**	**4,670**	**3,934**	**5,684**	**-**
PP&E	458	517	638	649	-
LT investments	-	-	-	-	-
Other non current assets	4,500	4,966	8,219	8,124	-
Total assets	**8,974**	**10,153**	**12,791**	**14,457**	**-**
Short term borrowings	0	0	0	0	-
Payables	633	857	770	909	-
Other short term liabilities	737	778	979	1,573	-
Current liabilities	**1,370**	**1,635**	**1,749**	**2,482**	**-**
Long-term debt	2,476	2,480	2,475	2,475	-
Other long term liabilities	455	564	1,116	1,370	-
Total liabilities	**4,301**	**4,679**	**5,340**	**6,327**	**-**
Shareholders' equity	4,674	5,474	7,451	8,130	-
Minority interests	0	0	0	0	-
Total liabilities & equity	**8,974**	**10,153**	**12,791**	**14,457**	**-**
BVPS	**17.07**	**20.03**	**27.09**	**29.30**	**-**
y/y Growth	*22.8%*	*17.4%*	*35.3%*	*8.1%*	-
Net debt/(cash)	(168)	(521)	532	(856)	-
Cash flow from operating activities	**1,261**	**1,729**	**1,878**	**3,075**	**-**
o/w Depreciation & amortization	197	228	412	378	-
o/w Changes in working capital	(209)	(73)	(484)	406	-
Cash flow from investing activities	**(837)**	**(472)**	**(2,314)**	**(299)**	**-**
o/w Capital expenditure	(143)	(142)	(232)	(299)	-
as % of sales	*3.1%*	*2.7%*	*3.6%*	*4.0%*	-
Cash flow from financing activities	**1,263**	**(949)**	**(1,102)**	**(1,388)**	**-**
o/w Dividends paid	-	-	-	-	-
o/w Net debt issued/(repaid)	1,847	0	-	-	-
Net change in cash	**1,660**	**346**	**(1,549)**	**1,388**	**-**
Adj. Free cash flow to firm	**1,131**	**1,607**	**1,727**	**2,881**	**-**
y/y Growth	*(10.2%)*	*42.1%*	*7.4%*	*66.9%*	-

Income Statement - Quarterly	1Q26A	2Q26A	3Q26A	4Q26E
Revenue	**1,474A**	**1,584A**	**1,633A**	**1,710**
COGS	(176)A	(186)A	(182)A	(194)
Gross profit	**1,298A**	**1,398A**	**1,451A**	**1,516**
SG&A	(234)A	(263)A	(297)A	(293)
Adj. EBITDA	**659A**	**721A**	**720A**	**761**
D&A	0A	0A	0A	0
Adj. EBIT	**659A**	**721A**	**720A**	**761**
Net Interest	(18)A	(24)A	(23)A	(32)
Adj. PBT	**641A**	**697A**	**697A**	**729**
Tax	(106)A	(115)A	(115)A	(120)
Minority Interest	-	-	-	-
Adj. Net Income	**536A**	**582A**	**582A**	**609**
Reported EPS	1.23A	1.33A	1.05A	1.26
Adj. EPS	**1.96A**	**2.11A**	**2.11A**	**2.22**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	274A	276A	275A	275

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	87.8%	88.0%	88.5%	88.7%	-
EBITDA margin	42.5%	44.6%	44.7%	45.5%	-
EBIT margin	42.5%	44.6%	44.7%	45.5%	-
Net profit margin	35.2%	36.8%	36.1%	36.6%	-
ROE	38.6%	38.5%	35.7%	35.1%	-
ROA	22.3%	20.4%	20.1%	20.1%	-
ROCE	28.5%	26.1%	26.7%	27.6%	-
SG&A/Sales	18.3%	16.9%	17.0%	16.4%	-
Net debt/equity	NM	NM	0.1	NM	-
P/E (x)	53.9	45.1	38.4	32.7	-
P/BV (x)	18.9	16.1	11.9	11.0	-
EV/EBITDA (x)	44.8	37.3	31.2	25.8	-
Dividend Yield	-	-	-	-	-
Sales/Assets (x)	0.6	0.6	0.6	0.5	-
Interest cover (x)	125.4	98.2	29.8	27.2	-
Operating leverage	111.1%	138.8%	101.5%	112.8%	-
Revenue y/y Growth	13.5%	14.1%	20.9%	16.6%	-
EBITDA y/y Growth	6.0%	19.6%	21.2%	18.8%	-
Tax rate	16.5%	16.5%	16.5%	16.5%	-
Adj. Net Income y/y Growth	16.4%	19.3%	18.3%	18.4%	-
EPS y/y Growth	16.0%	19.6%	17.6%	17.3%	-
DPS y/y Growth	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Cadence Design Systems (CDNS, CDNS US) Price Chart



Date	Rating	Price ($)	Price Target ($)
13-Feb-24	N	306.58	300
24-Apr-25	OW	265.42	325
29-Apr-25	OW	285.74	330
29-Jul-25	OW	333.76	390
28-Oct-25	OW	351.40	405

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 17, 2003. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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Completed 27 Oct 2026 12:16 AM EDT

Disseminated 27 Oct 2026 12:55 AM EDT